

# Inflation in an Island of High Prices. The Factors behind Price Stability in Switzerland

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## Abstract

In the context of more frequent supply shocks, we assess the factors behind the relative resistance to cost-push inflation in Switzerland. We review and assess common explanations behind price stability in the Swiss economy, namely the strength of the Swiss franc, the construction of the country's consumer price index, the importance of the high share of administered prices, and Switzerland's energy mix and low energy intensity. We find that low inflation in Switzerland is the result of a combination between the regulation of the energy sector, the protection of the domestic agricultural sector and structural change which has improved the energy mix and intensity of the economy. Finally, we show how this combination rests on a socio-political compromise within the Swiss dominant social bloc and underline the lines of rupture which could put into question this political equilibrium at the foundation of the so-called "island of high prices" which characterize the Swiss economy since the end of the Bretton Woods system.

Keywords: Inflation, Switzerland, Supply Shocks, Price Stability, Administered Prices

## Introduction

With the recurrence of large-scale global supply shocks since the Covid-19 crisis such as the war in Ukraine and more recently the closure of the strait of Hormuz, inflation has made a strong return in developed economies (Baltensperger 2023; Honohan 2024). In the last few years, countries have experienced inflation rates not seen in decades due to supply chain disruptions and the increase in gas and oil prices. However, one country has remarkably well resisted to the 2021-2023 inflation surge: Switzerland. According to the KOF Swiss Economic Institute, inflation rose up to barely 2,8% in 2022 and 2,1% in 2023 and, since 2024, is already back to the Swiss National Bank (SNB) target range (0-2%) since. In international comparison, inflation reached 8% in the United States and 8,4% in the Eurozone in 2022 before declining to 4,1% and 5,5% respectively in 2023 (Sturm et al. 2023). The harmonized food price index increased by only 4,2% in Switzerland during the global food crisis of 2022 whereas it increased by 16,7% in the European Union (EU) (Eurostat 2026). Swiss prices are indeed among the most stable in the world since the last two decades, with an average annual inflation rate of its national consumer price index of only 0,6% between 2000 and 2025. Among developed economies, only Japan has experienced lower inflation (0,5%), whereas inflation rates usually

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ranged from 1,5% to 2,5% in other high-income countries. At the same time, Switzerland has one of the highest price levels in the world. Its GDP price index is approximately 60% higher than the EU average and final household expenditure prices are higher by 82% (Albouy and Bordes 2026), which contribute to Switzerland being characterized as an “island of high prices” due to its relatively very high price level.

What factors lie behind the high price levels and low inflation rates in Switzerland? What makes this country particularly resistant to inflationary pressures? The present contribution aims to contribute to the current debates around the return of inflation through an assessment of the institutional characteristics of the Swiss socio-economic model as well as its policy instruments which make it robust to inflationary pressures. Regarding the debates, there are two main currents in that regard. On the one hand, New Keynesians or New Consensus macroeconomists view inflation as the result of excess demand, that is, when there is a positive gap between actual GDP and potential GDP. According to this approach, the inflation of the 2020s is the result of either the fiscal and monetary stimulus in the aftermath of the Covid-19 crisis, or the result of a wage-price spiral. On the other hand, heterodox economists from post-Keynesian and institutionalist strands view inflation mainly as a cost-push phenomenon triggered by supply shocks affecting sectors with systemically significant prices which propagate more strongly to the rest of the economy such as energy (Weber et al. 2024, 2026). Whereas neo-Keynesians advocate restrictive monetary policy to reduce aggregate demand to fight inflation, heterodox economists propose more encompassing set of policies and reforms. Among those policies, price control is arguably the most salient instrument in that regard, as it is considered a relevant measure to contexts in which inflation is driven by increases in the mark-ups of firms in highly cartelized and non-competitive sectors which take advantages of the scarcity of raw materials in times of shortage crisis. Given the unique characteristics of its institutions and economic policies, Switzerland thus constitutes a particularly compelling case for assessing inflation stabilization policies.

The paper is structured as follows. The first section reviews the literature on the factors behind Switzerland’s low inflation and high price level. The second section then assesses these factors by presenting a set of stylized facts about price dynamics in Switzerland. In the third section, we run an input-output model to evaluate the impact of the... *to be continued*

## Literature Review

Due to the diminished importance of inflation in Switzerland, the scientific literature on the determinants of the country’s inflation dynamics is rather scarce. One can nonetheless identify several types of explanations. The first type of explanation, and surely the most widespread one, associates low inflation rates to the strength of the Swiss franc which dampens the price of imported goods. One of the most salient stylized facts of the Swiss economy is in effect the structural tendency of the Swiss franc to appreciate since the end of the Bretton Woods system, a tendency which reflects the country’s high competitiveness of its export-oriented industries which creates a sustained international demand for Swiss francs (Reynard 2009; Vallet 2016). Another variant of this explanation resides in the status of the Swiss franc as a strong safe-

haven currency. The Swiss franc is indeed considered as one of the most sought-after assets in times of financial and economic crisis (Fatum and Yamamoto 2016; Lee 2017). Baltensperger and Kugler (2016) dates the status of the Swiss franc as a safe-haven currency back to the first World War, when this status mirrored Switzerland's strong political, economic and monetary stability. For Swiss economic organizations and policy makers, the appreciation of the Swiss franc is considered as a double-edged sword. On the one hand, it represents a threat on the export-oriented industries which fear that an overvalued franc might have a negative effect on Swiss exports abroad. This fear is also shared by industries mostly oriented towards the domestic sector such as retail which are afraid that higher relative prices will result in an increase in cross-border shopping, a phenomenon that can be important in Switzerland given its geographical proximity to important European countries with a much lower cost of living (Kluser 2025). On the other hand, a stronger currency implies cheaper imports and can thus help to mitigate inflation, especially since Switzerland is a small open economy with few natural resources and therefore highly dependent on imports. The SNB even considers that appreciations of the Swiss franc come with the risk of provoking a deflationary spiral in times of economic crisis. During the eurozone crisis, the SNB introduced a minimum exchange rate (the so-called "taux plancher"), of one franc against 1,2 euros to combat deflation. The fact that the zero lower bound for the policy rate had already been reached entailed substantial purchase of foreign currency by the SNB which substantially increased its balance sheet until it decided to abandon the minimum exchange rate in January 2015.

Studies on the so-called exchange rate pass-through (ERPT) on inflation have nevertheless consistently found only a limited effect in Switzerland. Stulz (2007) estimated a substantial but incomplete pass-through on import prices, with ERPT elasticities of 0,52 after twelve months and 0,37 in the long run, whereas ERPT to consumer prices amounts to 0,09 in the short run and merely 0,18 in the long run. Using monthly data between 1999 and 2010, Herger (2012) found that the ERPT elasticity onto aggregate import prices is only 0,3. Other studies have found either small or insignificant ERPT effects<sup>4</sup>. Even studies that have examined the causal effect of the sharp and sudden appreciation of the Swiss franc following the removal of the minimum exchange rate in 2015 have found only a limited impact. Auer et al. (2021) found a one-year pass-through effect of 0,075 for retail domestic prices and 0,366 for retail imported products. The results of Oktay (2022) underlined important heterogeneities in the pass-through across categories of goods and services, with non-tradable goods and services having lower pass-through than tradable ones. However, the aggregate result of the pass-through is found to be very small as only 12% of the euro/franc shock of 2015 was passed on the overall Swiss consumer price index. Low inflation rates in Switzerland cannot therefore be attributed solely based on the strength of the Swiss franc as the ERPT effect is in fact very limited.

However, a low ERPT does not necessarily imply that movements in the exchange rate and the price of imports are of no importance regarding inflation dynamics in Switzerland. The results from a historical decomposition of a structural vector error correction model by Leutert et al. (2026) showed that, whereas increases in unit labour costs (UCL) had only a modest impact on

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<sup>4</sup> For a summary of the empirical estimates of the ERPT effects in Switzerland, see Bachmann (2012).

CPI inflation in the last 40 years, variations in import prices due to oil price shocks, foreign inflation and the exchange rate explain a substantial part of Swiss CPI movements since the 1980s. This indicates that even though import prices have a low pass-through, they remain important drivers of inflation dynamics in Switzerland. On the other hand, the very limited pass-through of UCL on CPI inflation can be explained by the fact that Swiss ULC are more relevant for export prices than for domestic consumer prices as most items of the latter are composed by categories which only marginally depend on labour input for instance rents and health which account for around 40% of the Swiss CPI) (Leutert et al. 2026, 11).

Some comparative case studies hold that lower inflation rate in Switzerland can be explained to a considerable extent by the different weights assigned to the items of the CPI compared to other countries, implying that Switzerland's low inflation is in part a statistical artefact, reflecting the specific structure and expenditure weights of the Swiss CPI basket. These studies underlined the relatively low weight assigned to energy (5%) and the exclusion of certain important expenditure items such as the compulsory health insurance premiums and have provided estimations of Swiss inflation using the expenditure weights applied in other countries, such as Germany. Even under these counterfactual weighting schemes, Swiss inflation remains nonetheless substantially lower than in comparable economies such as Spain and Germany, suggesting that measurement conventions account for only a modest fraction of the observed differential (Sonnenberg 2022; Dullien et al. 2024).

Regarding the structure of the Swiss CPI, another line of explanation has emphasized the importance of the high share of administered prices in the basket as a factor behind Switzerland's price stability. The share of administered prices, defined as prices set or regulated by the government that are not determined solely by market supply and demand, is particularly high in Switzerland. In 2025, the share of administrated prices in the harmonized consumer price index was 25% in Switzerland, compared to around 12% in the European Union. The fact that one third of Swiss prices are administered naturally raises the hypothesis that the Swiss government exercises substantial price controls to keep inflation low.

However, the scarce literature on this topic supports that administered prices are not an important driver of low inflation in Switzerland nor a significant factor to explain Switzerland's inflation gap in comparison with the euro area. On the one hand, despite the importance of administered prices in the Swiss CPI basket, an indicator of inflation excluding them would not have changed substantially price dynamics in the country over the last 20 years, as CPI inflation excluding administered prices was only 0.1 percentage points higher than CPI inflation including them. On the other hand, both administered and non-administered prices increased considerably less in Switzerland than in the euro area. This suggests that inflation gap between the two economies cannot be attributed solely to administered prices, but must also reflect differences in the evolution of non-administered prices (S. Auer et al. 2025).

In place of a deliberate policy designed to control price level and inflation, the high share of administered prices rather reflects in great part Switzerland's peculiar welfare state system, notably its mandatory health insurance system. Unlike other European countries where all health services and products covered by mandatory health insurance are directly taken in charge

by the state, Swiss residents must finance by themselves a great part of health expenditures through out-of-pocket payments until a minimum franchise is reached in addition to the premiums which are not taken into account into the Swiss CPI basket. As a result, the 25% share of administered price is artificially inflated by a high share of health goods and services (around 14%) which are administered as they are covered and thus regulated by the compulsory public plan, but whose expenses must still be supported through out-of-pocket payments by households. In contrast, the share of products and services with administered prices for other key items are significantly lower: 3% for energy or 2,3% for transports (S. Auer et al. 2025; Mergele et al. 2026).

*Contre-argument possible: revenir à Dullien et al. (2024) et lier au concept de prix systématiquement significatif (weber) afin de souligner l'importance de l'administration des prix de l'énergie. Peut être après passage sur l'ilot de cherté ?*

Although the impact of administered prices on inflation is generally considered to be of no importance, they are nevertheless frequently singled out and criticized for making Switzerland an island of high prices. The matter of the high price level has been at the forefront of policy and reform debates in the last decades and was used by policy makers as well as business associations and neoliberal think tanks to promote the transformation of Switzerland's model of organized capitalism into a neoliberal one.